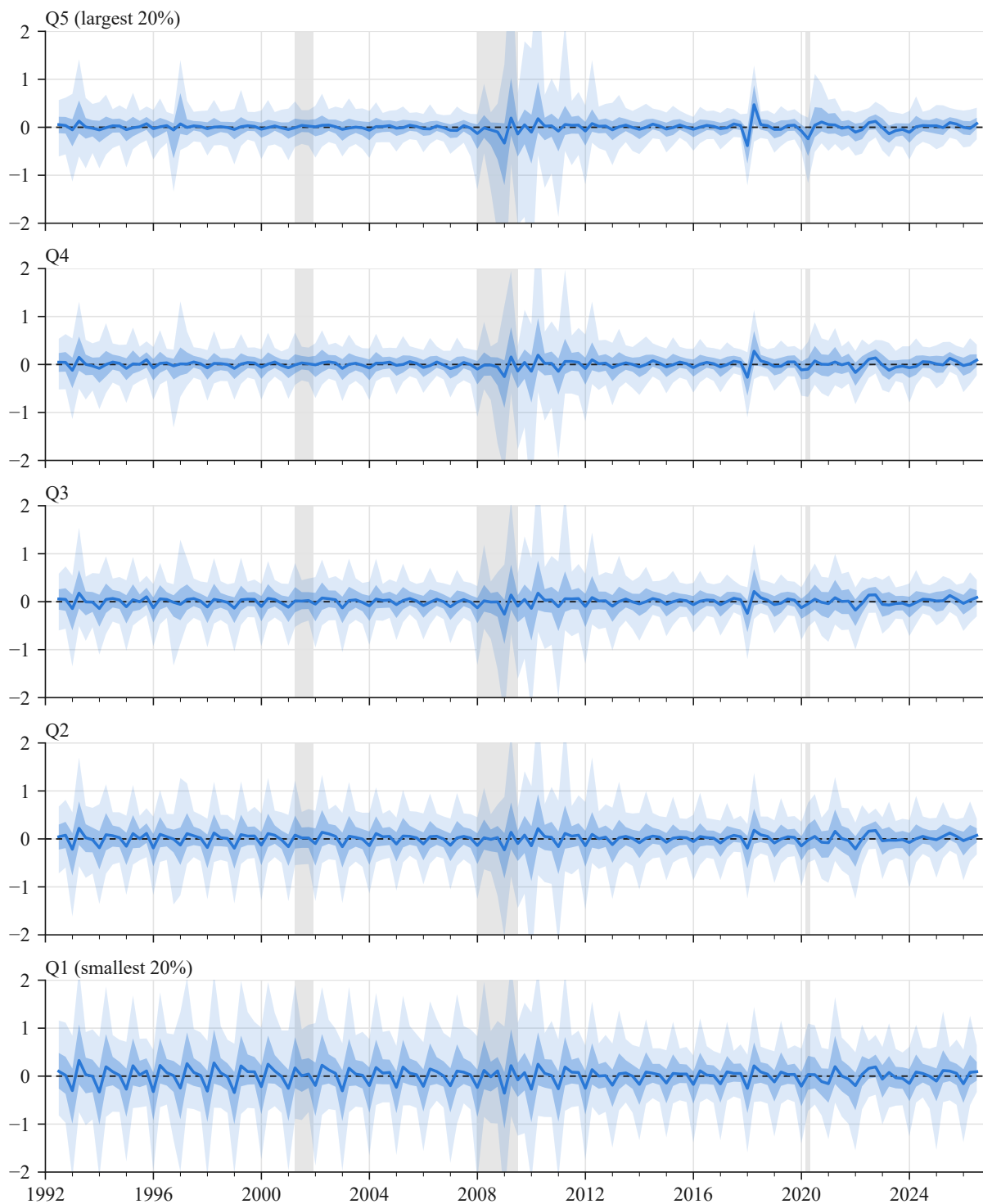


Change in return on assets (pp)



Note: Percentage-point change in each bank's single-quarter ROA (annualized) from the previous quarter. The y-axis is capped at -2pp and 2pp. Solid line: median bank; dark band: 25th–75th percentiles; light band: 10th–90th percentiles. Quintiles are formed each quarter from total assets at $t-1$. Shaded areas indicate NBER recessions.

Source: FDIC Statistics on Depository Institutions; author's calculations.